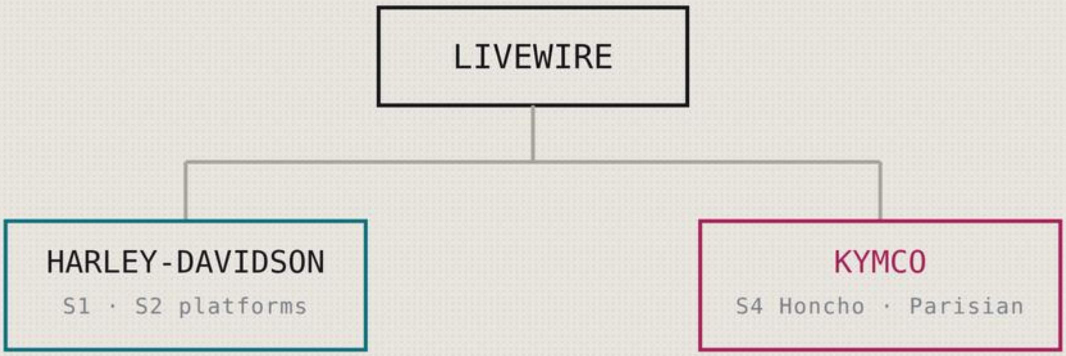
PART 2 OF 3

TWO AGREEMENTS, ONE TRAP

Why selling more motorcycles does not fix this.

TWO CONTRACT MANUFACTURERS, SIGNED THE SAME DAY



Both dated 26 September 2022. Both carry minimum annual volume commitments. Both charge a deficit fee if the volume is missed.

WHERE THE MONEY GOES, PER MOTORCYCLE

The motorcycle is nearly a rounding error. **$58,049 of overhead per unit is the business.**

THE PART NOBODY REPORTS

87%

OF Q2'S GROSS LOSS WAS INVENTORY WRITE-DOWNS — NOT THE COST OF BUILDING THE MOTORCYCLE

Harley builds the motorcycles. **LiveWire buys them at cost-plus** — Harley's cost, plus a mark-up. Then writes them down to what they can actually be sold for.

The transfer price exceeds the market value.

THE FY2025 10-K, EXPLAINING WHY COSTS IMPROVED

> *"…primarily driven by a significant decrease of the number of motorcycles purchased in 2025 as compared to 2024 resulting in lower net realizable value adjustments…"*

LIVEWIRE GROUP, FORM 10-K, FILED 20 FEBRUARY 2026

MARGINS IMPROVED BECAUSE THE COMPANY BOUGHT FEWER MOTORCYCLES.

SO DON'T BUY THEM. EXCEPT.

BUY THE MOTORCYCLES

They are worth less than you paid

87% OF Q2'S GROSS LOSS

DON'T BUY THEM

$6.1M

2023 PROVISION FOR EXCESS INVENTORY COMPONENTS HELD BY H-D UNDER THE CONTRACT MANUFACTURING AGREEMENT

Parts Harley had already procured to build motorcycles LiveWire didn't take. **There is no third option.**

BEGINNING CALENDAR 2027

MINIMUM ANNUAL VOLUME COMMITMENTS, PER PRODUCT, WITH A DEFICIT FEE.

To Harley-Davidson — and, under the agreement amended in May 2026, **to KYMCO as well.**

The exposure that already cost $6.1 million once now exists in duplicate — and stops being discretionary.

THE ECONOMICS WERE NOT DECIDED BY THE MARKET. THEY WERE DECIDED BY THE TERMS.

Part 3: the loan agreement that settled this eight months before the quarter was reported.

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